Divi's Laboratories

DIVISLAB

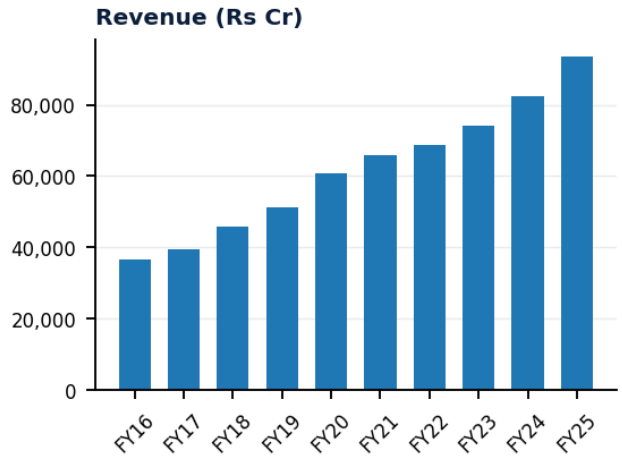
Sector: Pharma

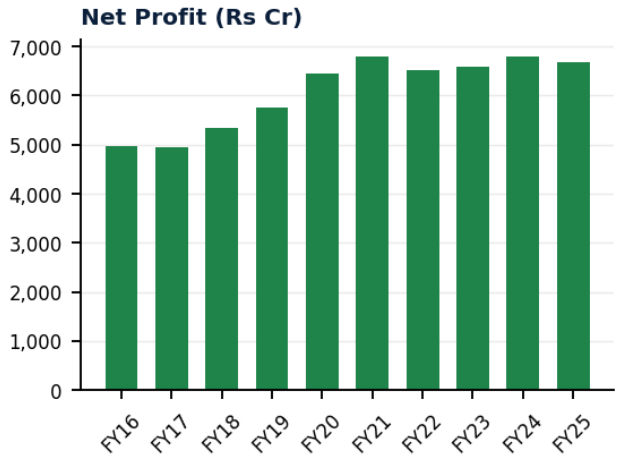
Key performance indicators (FY2025)

Revenue (Rs Cr)	Net Profit (Rs Cr)	Operating Margin (%)
93,611	6,679	13.4%

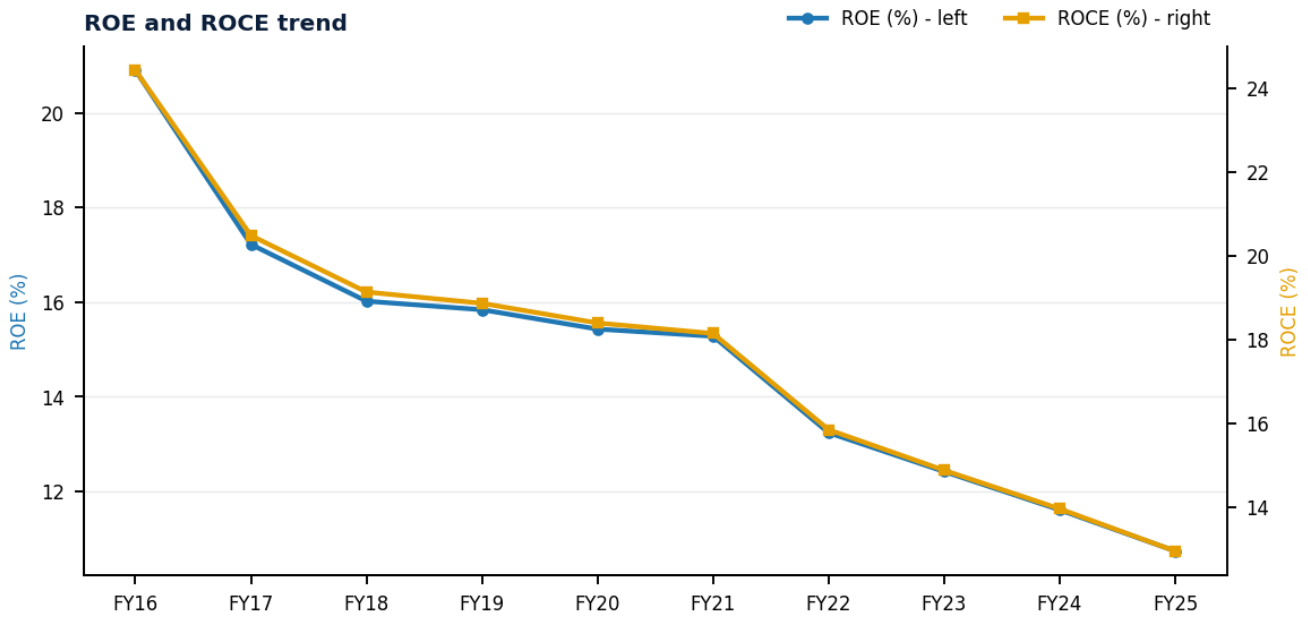
ROE (%)	ROCE (%)	Debt / Equity (x)
10.7%	12.9%	0.35x

10-year Revenue and Net Profit

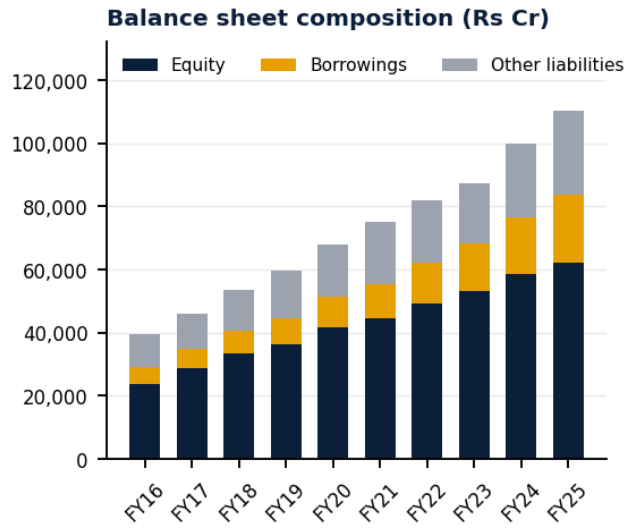


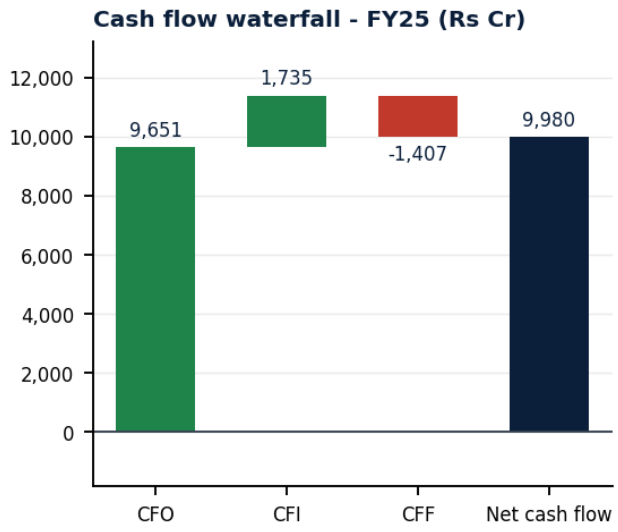


Return ratios (ROE and ROCE)



Balance sheet composition and cash flow





Pros - what the numbers favour

- Strong free cash flow generation over 5 years signals healthy business fundamentals (100%)

Cons - what to watch

- Earnings per share declining for 3 consecutive years reflects deteriorating profitability (80%)
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure (71%)
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (62%)

Capital allocation pattern (FY2025)

Asset Monetizer

Cash flow intelligence

CFO quality	CapEx intensity	Distress signal	Deleveraging
High Quality (1.44)	**Asset Light (1.9%)**	**No**	**No**